Figure 3. Portugal: Public Sector Debt Sustainability Analysis (DSA) Baseline Scenario, 2006–2022

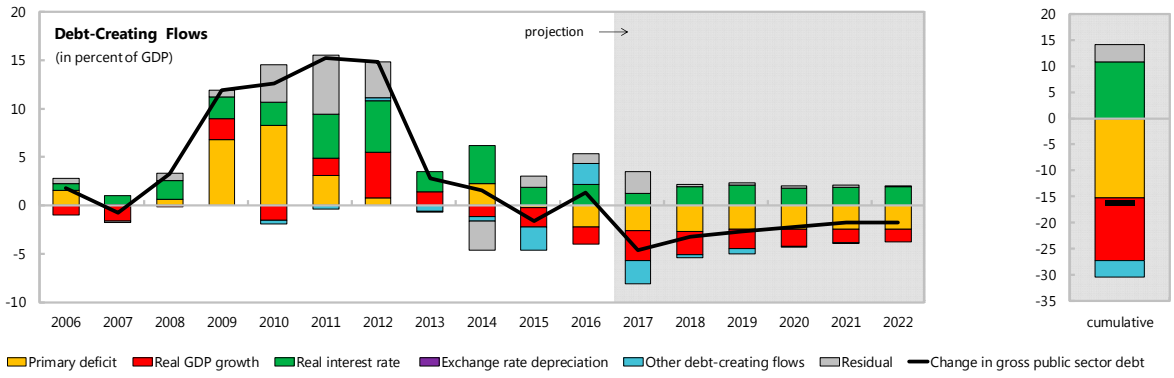
(Percent of GDP, unless otherwise indicated)

Debt, Economic and Market Indicators [1/]

	Actual			Projections						As of July 31, 2017		
	2006-2014 [2/]	2015	2016	2017	2018	2019	2020	2021	2022	Sovereign Spreads		
Nominal gross public debt	98.5	129.0	130.3	125.7	122.5	119.8	117.6	115.8	114.0	EMBIG (bp) 3/		235
Public gross financing needs	24.2	24.5	18.5	16.0	15.4	16.1	14.2	17.7	14.0	5Y CDS (bp)		240
Real GDP growth (in percent)	-0.3	1.6	1.4	2.5	2.0	1.7	1.5	1.2	1.2	Ratings	Foreign	Local
Inflation (GDP deflator, in percent)	1.3	2.1	1.6	2.2	1.7	1.6	1.8	1.8	1.8	Moody's	Ba1	Ba1
Nominal GDP growth (in percent)	1.0	3.7	3.0	4.8	3.8	3.3	3.3	3.0	3.0	S&Ps	BB	BB
Effective interest rate (in percent) [4/]	4.2	3.6	3.4	3.3	3.3	3.4	3.4	3.4	3.5	Fitch	BB+	BB+

Contribution to Changes in Public Debt

	Actual			Projections							
	2006-2014	2015	2016	2017	2018	2019	2020	2021	2022	cumulative	debt-stabilizing primary balance [9/]
Change in gross public sector debt	7.0	-1.6	1.4	-4.6	-3.3	-2.7	-2.3	-1.8	-1.8	-16.4	
Identified debt-creating flows	5.6	-2.7	0.3	-6.9	-3.5	-2.9	-2.5	-2.0	-1.9	-19.6	
Primary deficit	2.6	-0.2	-2.2	-2.6	-2.7	-2.5	-2.5	-2.5	-2.5	-15.2	0.6
Primary (noninterest) revenue and grants	42.2	44.0	43.0	43.0	42.8	42.6	42.5	42.5	42.4	255.9	
Primary (noninterest) expenditure	44.9	43.8	40.8	40.4	40.1	40.1	40.0	40.0	40.0	240.7	
Automatic debt dynamics [5/]	3.2	-0.1	0.5	-1.9	-0.5	0.1	0.1	0.5	0.6	-1.2	
Interest rate/growth differential [6/]	3.2	-0.1	0.5	-1.9	-0.5	0.1	0.1	0.5	0.6	-1.2	
Of which: real interest rate	2.7	1.9	2.2	1.2	1.9	2.1	1.8	1.9	1.9	10.8	
Of which: real GDP growth	0.5	-2.0	-1.8	-3.1	-2.4	-2.0	-1.7	-1.4	-1.3	-12.0	
Exchange rate depreciation [7/]	0.0	0.0	0.0	...	...	...	...	...	...	...	
Other identified debt-creating flows	-0.2	-2.4	2.1	-2.4	-0.3	-0.5	-0.1	0.0	0.0	-3.3	
Privatization revenue (negative)	-0.3	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	
Increase in deposits and other (- means drawn down of deposits)	0.2	-2.4	2.1	-2.4	-0.3	-0.5	-0.1	0.0	0.0	-3.3	
Residual, including asset changes [8/]	1.4	1.1	1.0	2.2	0.2	0.2	0.2	0.2	0.1	3.3	



Source: IMF staff.

1/ Public sector is defined as general government.

2/ Based on available data.

3/ Bond Spread over German Bonds.

4/ Defined as interest payments divided by debt stock at the end of previous year.

5/ Derived as [(r - p(1+g) - g + ae(1+r)]/(1+g+p+gp)) times previous period debt ratio, with r = interest rate; p = growth rate of GDP deflator; g = real GDP growth rate; a = share of foreign-currency denominated debt; and e = nominal exchange rate depreciation (measured by increase in local currency value of U.S. dollar).

6/ The real interest rate contribution is derived from the denominator in footnote 4 as r - π (1+g) and the real growth contribution as -g.

7/ The exchange rate contribution is derived from the numerator in footnote 2/ as ae(1+r).

8/ For projections, this line includes exchange rate changes during the projection period.

9/ Assumes that key variables (real GDP growth, real interest rate, and other identified debt-creating flows) remain at the level of the last projection year.